

The burden then shifts to Plaintiff to demonstrate a probability of prevailing on his claims. (Code Civ. Proc., § 425.16, subd. (b)(1).) The opposition must demonstrate that the complaint is both legally sufficient and supported by a sufficient prima facie showing of facts to sustain a favorable judgment. (*Premier Med. Mgmt. Systems, Inc. v. California Ins. Guar. Ass'n* (2006) 136 Cal.App.4th 464, 476.) Plaintiff failed to submit an opposition. Accordingly, Plaintiff failed to demonstrate a probability of prevailing.

Pursuant to Code of Civil Procedure § 425.16(c), a defendant who prevails on a special motion to strike is entitled to recover their attorney's fees and costs.

CASE #	CASE NAME	HEARING NAME
CVRI2600117	SMITH VS RIVERSIDE UNIFIED SCHOOL DISTRICT	DEMURRER AND MOTION TO STRIKE

Tentative Ruling: Hearing is vacated as moot.

4.

CASE #	CASE NAME	HEARING NAME
CVRI2600253	MALHOTRA VS RIVIAN AUTOMOTIVE, INC.	MOTION TO COMPEL ARBITRATION

Tentative Ruling: Defendant Rivian Automotive, Inc.'s Motion to Compel Arbitration is denied.

Defendant's request for judicial notice of Plaintiff's Complaint is granted.

WAIVER

Here, Defendant has filed an answer to the Complaint and asserted the arbitration clause as an affirmative defense. (See Answer filed March 26, 2026; First Amended Answer filed April 23, 2026.) A party desiring to pursue arbitration must exercise its right to arbitration by filing a petition under Code of Civil Procedure section 1281.2 or by raising the issue as an affirmative defense in its answer. (*Sargon Enters., Inc. v. Browne George Ross LLP* (2017) 15 Cal.App.5th 749, 767-768.) A delay in seeking enforcement of the arbitration agreement may constitute a waiver. (*Gunderson v. Superior Court* (1975) 46 Cal.App.3d 138, 144, disapproved on other grounds by *Doers v. Golden Gate Bridge etc. Dist.* (1979) 23 Cal.3d 180.) Nevertheless, the right to compel arbitration is not automatically waived. Here, Defendant has not waived its right to compel arbitration.

FEDERAL ARBITRATION ACT ("FAA")

Here, the question of whether FAA should apply is not subject to debate in this case. When the underlying agreement relied upon to compel arbitration evidences transactions involving commerce, as defined by the Federal Arbitration Act (9 U.S.C. §1 et seq.), federal law governs the interpretation of the agreements. (*Goldman v. KPMG*,

LLP, supra, 173 Cal.App.4th at 219 (Goldman), citing *Turtle Ridge Media Group, Inc. v. Pacific Bell Directory* (2006) 140 Cal.App.4th 828, 832.) “Section 2 is a congressional declaration of a liberal federal policy favoring arbitration agreements, notwithstanding any state substantive or procedural policies to the contrary. [Citation.]” (*Perry v. Thomas* (1987) 482 U.S. 483, 489.) Where the FAA applies, it is said to preempt any state law rule that “stands as an obstacle to the accomplishment of the FAA’s objectives.” (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 384, internal quotations omitted.)

MERITS

In determining whether to grant a motion to compel arbitration, the trial court is presented with two gateway issues of arbitrability: (1) whether there is an agreement to arbitrate between the parties, and (2) whether the agreement covered the dispute at issue. (*Howsam v. Dean Witter Reynolds, Inc.* (2002) 537 U.S. 79, 84.) Under both federal and state statute, the threshold question when presented with a petition to compel arbitration is whether there is an agreement to arbitrate. (*Cheng-Canindin v. Renaissance Hotel Associates* (1996) 50 Cal.App.4th 676, 684; See 9 USC §2; Code Civ. Proc., §1281.) Here, Defendant has not made the threshold showing that a valid arbitration agreement exists between Defendant and Plaintiff either under a direct contractual relationship or under the doctrine of equitable estoppel.

Defendant has presented no evidence to show that a valid arbitration agreement was formed between the parties. The party seeking to enforce the arbitration clause bears the burden of proving the existence of an arbitration agreement, and the party opposing enforcement bears the burden of proving any defense such as unconscionability. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US) LLC* (2012) 55 Cal.4th 2223, 236; Code Civ. Proc., §1281.2 [requiring court to order arbitration “if it determines that an agreement to arbitrate exists”].) Defendant contends that Plaintiff leased the subject vehicle from Defendant and signed a CLOSED-END MOTOR VEHICLE LEASE AGREEMENT (“Lease Contract”), a copy of which is attached as an exhibit to the supporting declaration of Defendant’s counsel. (Declaration of Ali Ameripour iso motion [“Ameripour Decl.”], ¶ 2, Ex. 1 [Lease Contract].) In order to effectuate the lease of the subject vehicle, Plaintiff signed the Lease Contract, agreeing to the terms and conditions set forth therein, which reflected a monthly lease payment of \$938.67 for the total lease payment of \$33,792.12. The Lease Contract reflects Rivian LLC - Eastvale as the “Lessor - Dealer” and Plaintiff as the “Lessee” and was fully executed by them.

The arbitration clause contained within the Lease Contract provides in relevant parts:

You and we agree that upon the election of either of us, any claims or disputes relating in any way to your lease account or transactions will be resolved by binding arbitration as discussed below, and not through litigation in any court (except for matters in small claims court). This arbitration agreement is entered into pursuant to the Federal Arbitration Act, 9 U.S.C §§ 1-16 (“FAA”). [¶]

Claims are subject to arbitration, regardless of what theory they are based on or whether they seek legal or equitable remedies. Arbitration applies to any and all such claims or disputes, whether they arose in the past, may currently exist, or may arise in the future. All such claims or disputes are referred to in this agreement as “Claims.” However, claims relating to the scope, enforceability or validity of this agreement to arbitrate are for a court of competent jurisdiction to decide. (Ameripour Decl., ¶ 2, Ex. 1 [Lease Contract, pg. 7].)

Defendant, claiming to be a party to the Sales Contract, seeks to invoke the arbitration clause to compel this matter to arbitration pursuant to the Federal Arbitration Act, whereas it is not a party to the contract. Neither of the parties addresses this fact in the respective briefs but argues from an assumption that Defendant is a signatory to the contract. Defendant argues for the first time in its reply that Rivian does not have third-party dealerships that handle leasing and selling of its vehicles and therefore Defendant is a direct party to the Lease Contract. In other words, Defendant argues that the Lessor (Rivian LLC – Eastvale) and Defendant (Rivian Automotive, Inc.) are one and the same entity. The only thing submitted in support of this claim is the conclusory declaration of Defendant’s counsel, which lacks foundation, filed with its reply, claiming that “[t]he names Rivian, LLC and Rivian Automotive, Inc. both refer to the same wholly owned entity.” (Declaration of Ali Ameripour iso Reply, ¶ 2.) However, irrespective of what Defendant’s counsel means by the obscure phrase “the same wholly owned entity,” and irrespective of the corporate structuring and relationship between the two entities, the face of the contract indicates that only Rivian LLC – Eastvale is a signatory to the Lease Contract. The Lease Contract indicates that the contract is between the Lessor and Lessee. Although the contract at various times refers to the Lessor as “we”, there is no mention that “we” includes Defendant. Moreover, Defendant provides no evidence that Plaintiff consented to the Lease Contract with knowledge that he is entering a contract with an entity not specifically identified in the contract. (*See Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122, 1128-1129 [a party cannot be compelled to accept arbitration of controversies which it had not agreed to arbitrate].)

Moreover, Defendant has not provided any basis for the Court to find that it may, as a non-signatory, invoke the arbitration clause in the Lease Contract under the doctrine of equitable estoppel. The doctrine of equitable estoppel, in the arbitration context, applies to preclude a party from asserting rights under an agreement “when [that] party has signed an agreement to arbitrate but attempts to avoid arbitration by suing nonsignatory defendants for claims that are based on the same facts and are inherently inseparable from arbitrable claims against signatory defendants.” [Citations.] (*Metalclad Corp. v. Ventana Environmental Organizational Partnership* (2003) 109 Cal.App.4th 1705, 1713, internal quotation omitted.).

A court can find that equitable estoppel applies to an arbitration agreement either or two ways: “the claims the plaintiff asserts against the nonsignatory must [1] be dependent upon, or [2] founded in and inextricably intertwined with, the underlying contractual obligations of the agreement containing the arbitration clause.” (*Goldman v. KPMG, LLP* (2009) 173 Cal.App.4th 209, 219, italics added.)

Here, by entering the Lease Contract, the lessor and lessee agreed that “any claims or disputes relating in any way to [the] lease account or transactions” will be resolved by arbitration. There is no language in the Lease Contract suggesting that Plaintiff’s warranty claims or statutory claims under Song-Beverly Act relies on the Lease Contract in any way. It cannot be said that Plaintiff’s claims rely on the underlying agreement that contains the arbitration clause merely because the underlying agreement is a “necessary step” in effectuating the warranty relationship between the nonsignatory manufacturer and the Plaintiff; rather, actual reliance is required. (*Id.* at 231; *Ngo v. BMW of North America, LLC* (9th Cir. 2022) 23 F.4th 942, 949 [the manufacturer’s obligations to the buyer under the warranty arose independently of her agreement with the dealership].) This means, just because the manufacturer provided the buyers (or lessor in this case) with an express warranty as a result of the sale (or lease), that does not mean the manufacturer’s obligation to provide a non-defective vehicle under its separate warranty is “in any way founded on an obligation imposed by the sales contract or is intertwined with those obligations.” (*Ibid.*)

Here, Plaintiff does not rely on the Lease Contract in asserting his claims against Defendant for the alleged defects in the subject vehicle, which, instead, are based on the breach of express warranty between the buyer and manufacturer under the Song-Beverly Act. Hence Plaintiff’s claims are neither interdependent nor intertwined with the obligations of the Lease Contract for Plaintiffs to be equitably estopped from resisting Defendant’s attempt to compel arbitration. The rights and obligations of the parties to the Lease Contract only relate to the terms of the lease, including the total lease payment and the Lessee’s obligations to make monthly payments, and the Lessor’s rights and remedies in the event of Lessee’s default, along with information regarding insurance, and cancellation rights.

Even assuming a valid arbitration agreement exists between Plaintiff and Defendant, the agreement cannot be read to cover Plaintiff’s claims alleged in the Complaint. The wording of the arbitration agreement should determine whether it applies to a particular dispute. (*See Rebolledo v. Tilly’s, Inc.* (2014) 228 Cal.App.4th 900, 913 [the parties’ intention is determined from the writing alone (Civ. Code, §1639)].) The burden is on the party opposing a petition to compel arbitration to show the arbitration agreement cannot be interpreted to cover the dispute in question. (*Buckhorn v. St. Jude Heritage Medical Group* (2004) 121 Cal.App.4th 1401, 1406.) Here, the arbitration clause in question cannot be read so broadly to include any dispute arising out of or relating to any aspect of the relationship between Plaintiff and Defendant. In fact, the Lease Contract specifies that “the Vehicle is subject to the manufacturer’s standard new car warranty,” which can be read to mean that warranties are covered separately by the manufacturer. Furthermore, the Lease Contract explicitly disclaims any implied warranties, including “the warranties of merchantability or fitness for a particular purpose, except where prohibited by law.”

As the motion to compel arbitration is denied based on the above, Plaintiff’s challenge to enforcement of the arbitration agreement on unconscionability grounds need not be addressed.